

In 2008, emerging markets were down 54 percent, and I was down 17 percent, which is exactly in line with what I tell my investors—namely, in a bear market I expect to take 30 to 40 percent of the downside. I was very bullish at the end of 2007. We came into 2008 positioned 85 percent net long in high-beta stocks and 200 percent gross exposure. I was troubled, however, by widening credit spreads. It was reminiscent of August 2007 and suggested there were issues within the European banking sector. So I cut our exposure down to 40 percent net long. Aggressively selling down our positions in the first week of January was critical. We were actually up about 4 percent at midyear.

Help me out here. Why was cutting your long exposure sharply in early January beneficial? You were still net long and you were up for the first half-year. Logically then, wouldn't you then have been up even more if you didn't pare down your position?

A lot of the stocks we sold in early January were higher at the end of the second quarter, which would make our January sales look stupid, since we never went back to that 80 percent net exposure level. But I will tell you where you are wrong. If you remember, in late January, equity markets fell to new lows when the SocGen rogue trader position was discovered and unwound.⁶ If we hadn't sold at the beginning of January, we would have sold at the bloody lows and would probably have been down 15 percent in January 2008 instead of only 5 percent. Not only would we have sold at the lows, but when the market then rallied in February and March, we wouldn't have had any position. Instead, because we had drastically cut our exposure in the first week of January, we were in a position to take advantage of the collapse later in the month. When the news about SocGen came out, I thought that was great because now I knew why the market has been down so much, and I was very comfortable buying into the weakness. If we had been nursing a 15 percent loss, we could never have taken the risk of buying on the break, even though it seemed like a great opportunity, because if we were wrong, we would be down another 10 percent and down 25 percent for the month. We would have been out of business.